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ORCHARDLIGHT LIMITED

DIRECTORS' REPORT AND FINANCIAL STATEMENTS

FOR THE 52 WEEKS ENDED 24 DECEMBER 2005

REGISTERED NUMBER: 3320875

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ORCHARDLIGHT LIMITED
DIRECTORS' REPORT

The directors have pleasure in submitting their report and the audited financial statements of the Company for the 52 weeks ended 24 December 2005.

PRINCIPAL ACTIVITY

The principal activity of the Company is as an intermediate holding company.

PROFITS AND DIVIDEND

The result for the financial period as shown in the profit and loss account on page 4 amounted to a loss of £386,285,000 *(2004: Profit of £419,000)*. The directors recommend that a dividend of £121,000,000 be paid *(2004: £nil)*.

REVIEW OF THE BUSINESS AND FUTURE PROSPECTS

The directors anticipate that the Company will continue as investment holding company for the foreseeable future.

DIRECTORS

The directors of the Company who served throughout the period except as noted, were:

IPH Arnold
J Hancock (resigned 3 October 2005)
G Regan
M Robson (appointed 12 April 2005)

No director held any beneficial interest in the shares of the Company at any time during the period.

Beneficial interests of the directors, including family interests, in the share capital of the ultimate holding company, MFI Furniture Group Plc at 24 December 2005 and 25 December 2004 are disclosed in the accounts of that company with the exception of IPH Arnold and G Regan whose interests are shown below:

	At 24 December 2005 Ordinary shares of 10p each		At 25 December 2004 Ordinary shares of 10p each	
	Shares in issue	Share options	Shares in issue	Share options
IPH Arnold	34,075	323,211	38,834	323,211
G Regan	-	122,189	-	122,189

The options outstanding are exercisable at prices between 42p and 160.12p.

IPH Arnold also held a beneficial interest in the All Employee Share Incentive Plans in common with all members of the scheme. At the year end, the scheme held 1,770,888 shares *(2004: 2,249,234 shares)*.

Under the terms of the Senior Managers Co-Investment Plan, IPH Arnold beneficially held 62,552 commitment shares and 20,610 conditionally held shares with MFI Furniture Group Plc granting 136,748 matching shares (including shares granted for the operation of National Insurance Elections). The Senior Managers Co-investment Plan offers 1 ½ matching shares for every share held in the plan by a senior manager, conditionally vesting after three years.

POST BALANCE SHEET EVENT

The MFI group has refinanced its medium term debt. See details in note 10.

ORCHARDLIGHT LIMITED

DIRECTORS' REPORT (Cont'd)

AUDITORS

Pursuant to a shareholders' resolution passed during the year, the Company is not obliged to reappoint its auditors annually and Deloitte & Touche LLP will therefore continue in this office.

REGISTERED OFFICE

The company's registered office is International House, 1st Floor, 66 Chiltern Street, London, W1U 4JT.

STATEMENT OF DIRECTORS' RESPONSIBILITIES

United Kingdom company law requires the directors to prepare financial statements for each financial period, which give a true and fair view of the state of affairs of the Company as at the end of the period and of the profit or loss of the Company for that period. In preparing those financial statements the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The directors are responsible for keeping proper accounting records which disclose with reasonable accuracy at any time the financial position of the Company and to enable them to ensure that the financial statements comply with the Companies Act 1985. They are also responsible for the system of internal control, safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

By Order of the Board

G M Hughes
Secretary

November 8th 2006

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF ORCHARDLIGHT LIMITED

We have audited the financial statements of Orchardlight Limited for the 52 week period ended 24 December 2005 which comprise the profit and loss account, the balance sheet, and the related notes 1 to 10. These financial statements have been prepared under the accounting policies set out therein.

This report is made solely to the company's members, as a body, in accordance with section 235 of the Companies Act 1985. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditors' report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Respective responsibilities of directors and auditors

As described in the statement of directors' responsibilities the company's directors are responsible for the preparation of the financial statements in accordance with applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice).

Our responsibility is to audit the financial statements in accordance with relevant United Kingdom legal and regulatory requirements and International Standards on Auditing (UK and Ireland).

We report to you our opinion as to whether the financial statements give a true and fair view, in accordance with the relevant financial reporting framework, and are properly prepared in accordance with the Companies Act 1985. We also report to you if, in our opinion, the directors' report is not consistent with the financial statements, if the company has not kept proper accounting records, if we have not received all the information and explanations we require for our audit, or if information specified by law regarding directors' remuneration and other transactions is not disclosed.

We read the directors' report for the above 52 week period and consider the implications for our report if we become aware of any apparent misstatements or material inconsistencies with the financial statements.

Basis of audit opinion

We conducted our audit in accordance with International Standards on Auditing (UK and Ireland) issued by the Auditing Practices Board. An audit includes examination, on a test basis, of evidence relevant to the amounts and disclosures in the financial statements. It also includes an assessment of the significant estimates and judgements made by the directors in the preparation of the financial statements, and of whether the accounting policies are appropriate to the company's circumstances, consistently applied and adequately disclosed.

We planned and performed our audit so as to obtain all the information and explanations which we considered necessary in order to provide us with sufficient evidence to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or other irregularity or error. In forming our opinion we also evaluated the overall adequacy of the presentation of information in the financial statements.

Opinion

In our opinion:

- the financial statements give a true and fair view, in accordance with United Kingdom Generally Accepted Accounting Practice, of the state of the company's affairs as at 24 December 2005 and of its loss for the period then ended; and
- the financial statements have been properly prepared in accordance with the Companies Act 1985.

Deloitte & Touche LLP

Deloitte & Touche LLP
Chartered Accountants and Registered Auditors
London

30 November 2006

ORCHARDLIGHT LIMITED

PROFIT AND LOSS ACCOUNT

FOR THE 52 WEEKS ENDED 24 DECEMBER 2005

	Notes	**52 weeks to 24 Dec 2005 £000**	52 weeks to 25 Dec 2004 £000
Other Income		-	702
Administrative expenses		(7)	(5)
Impairment of investments	4	(770,425)	-
Operating (loss)/profit		**(770,432)**	697
Dividends received		**384,000**	-
Interest payable		-	(98)
(Loss)/Profit on ordinary activities before tax		**(386,432)**	599
Tax credit/(charge) on profit on ordinary activities	3	**147**	(180)
(Loss)/Profit for the financial period		**(386,285)**	419
Dividends paid		**(121,000)**	-
Amount transferred (from)/to reserves		**(507,285)**	419

The results for the 52 week period ended 24 December 2005 and the prior period are derived from continuing operations.

There are no recognised gains or losses in the current or preceding financial periods other than as stated in the profit and loss account and therefore no statement of recognised gains and losses has been presented.

The notes on pages 6 to 9 form part of these financial statements.

ORCHARDLIGHT LIMITED

BALANCE SHEET AT 24 DECEMBER 2005

	Notes	24 Dec 2005 £000	24 Dec 2005 £000	25 Dec 2004 £000	25 Dec 2004 £000
Fixed assets					
Investments	4		**100,000**		771,052
Current assets					
Debtors	5	**74,608**		144,857	
Creditors: amounts falling due within one year	6	**(681,548)**		(915,564)	
Net current liabilities			**(606,940)**		(770,707)
Net assets			**(506,940)**		345
Capital and reserves					
Called up share capital	7		-		-
Profit and loss account	8		**(506,940)**		345
Equity shareholders' (deficit)/funds			**(506,940)**		345

Approved by the Board of Directors November 8th 2006

G Regan
Director

The notes on pages 6 to 9 form part of these financial statements.

ORCHARDLIGHT LIMITED

NOTES TO THE FINANCIAL STATEMENTS

FOR THE 52 WEEKS ENDED 24 DECEMBER 2005

1. ACCOUNTING POLICIES

The accounting policies summarised below have all been applied consistently throughout the year and the preceding year.

BASIS OF PREPARATION

The financial statements are prepared under the historical cost convention and in accordance with applicable United Kingdom law and accounting standards.

Under Financial Reporting Standard 1 'Cash flow statements', the Company is exempt from the requirement to prepare a cash flow statement on the grounds that it is a wholly owned subsidiary undertaking and a consolidated cash flow statement is given in the financial statements of MFI Furniture Group Plc.

The financial statements include the undertakings for the 52 week period ended 24 December 2005, being the Saturday nearest to the Company's accounting reference date of 31 December. The undertakings for the prior year relate to the 52 week period ended 25 December 2004, being the Saturday nearest to the Company's accounting reference date of 31 December.

The Company is exempt from the requirement to prepare Group financial statements under s228 of the Companies Act 1985 since its results are included in the consolidated financial statements of its ultimate holding company, MFI Furniture Group Plc. The financial statements present information about the Company as an individual undertaking and not as a Group.

INVESTMENTS

Investments are stated at cost less any provision for impairment.

TAXATION

UK Corporation tax is provided at amounts expected to be paid/(or recovered) using tax rules and laws that have been enacted or substantially enacted by the balance sheet date.

2. REMUNERATION OF DIRECTORS, STAFF COSTS AND AUDITORS' REMUNERATION

No director received any emoluments from the Company during the period *(2004: £nil)*. The Company had no employees during the current or preceding period.

The auditors' remuneration in both periods is borne by a fellow subsidiary undertaking, MFI UK Ltd.

3. TAX (CREDIT)/CHARGE ON PROFIT ON ORDINARY ACTIVITIES

	24 Dec 2005 £000	25 Dec 2004 £000
UK Corporation tax	(147)	180

Factors affecting current period corporation tax

	2005	2004
The taxation (credit)/charge, as a percentage of profit on operating activities before taxation, is calculated at	(0.04%)	30%

The difference between the total current tax shown above and the amount calculated by applying the standard rate of UK Corporation tax to profit before tax is as follows:

	2005 £'000	2004 £'000
Profit on ordinary activities before taxation for the period	(386,432)	599
Tax on profit on ordinary activities at the standard rate of corporation tax in the UK of 30% *(2004: 30%)*	(115,929)	180
Effects of:		
Dividend income not subject to tax	115,927	-
Adjustments relating to prior years	(145)	-
Current tax (credit)/charge for the period	(147)	180

4. FIXED ASSET INVESTMENTS

	24 Dec 2005 £'000
Cost	
At 26 December 2004	771,052
Additions in year	99,373
At 24 December 2005	870,425
Provision for impairment	
At 26 December 2004	-
Charge in the period	(770,425)
At 24 December 2005	(770,425)
Net Book Value	
At 24 December 2005	100,000
At 25 December 2004	771,052

The addition in the year is in respect of an increase in the investment in the share capital of Howden Joinery Limited.

The charge in the period is against the investment in the share capital of MFI UK Limited, Schreiber Furniture Holdings Limited, MFI Properties Limited, MFI Financial Services Limited and Sofa Workshop Limited.

4. FIXED ASSET INVESTMENTS (Cont'd)

Investments comprise shares in Group companies. The principal subsidiaries at 24 December 2005 are listed below. All subsidiaries are wholly owned and incorporated in Great Britain, and registered in England and Wales. In the opinion of the directors the total value of shares in these companies is not less than the amount at which they are included in the balance sheet.

Subsidiary	Principal activity
MFI UK Limited	Manufacture and retail of kitchen and bedroom furniture
Howden Joinery Limited	Retail and trade kitchen furniture
MFI Card Services Limited	Finance
MFI Financial Services Limited	Finance
MFI Properties Limited	Property Management
Sofa Workshop Direct Holdings Limited	Manufacture and retail of sofas
Sofa Workshop Holdings Limited	Retail of sofas

5. DEBTORS

	24 Dec 2005	25 Dec 2004
	£000	£000
Amounts falling due within one year:		
Amounts owed by fellow subsidiary undertakings	**74,608**	144,857

6. CREDITORS

	24 Dec 2005	25 Dec 2004
	£000	£000
Amounts falling due within one year:		
Amounts owed to parent undertaking	**681,524**	915,564
Other creditors	**24**	-
	681,548	915,564

7. SHARE CAPITAL

	24 Dec 2005	25 Dec 2004
	£	£
100 *(2004: 100)* authorised ordinary shares of £1 each	**100**	100
2 *(2004: 2)* allotted, called up and fully paid ordinary shares of £1 each	**2**	2

8. RECONCILIATION OF MOVEMENTS IN SHAREHOLDERS' (DEFICI)/FUNDS

	£'000
25 December 2004	**345**
Loss for the period	(507,285)
24 December 2005	**(506,940)**

9. ULTIMATE PARENT COMPANY AND RELATED PARTY TRANSACTIONS

The Company's immediate parent company and ultimate parent company and controlling party is MFI Furniture Group Plc incorporated in Great Britain and registered in England and Wales.

The largest and smallest Group in which the results of the Company are consolidated is that headed by MFI Furniture Group Plc. The consolidated accounts of this Group are available to the public and can be obtained from the Registrar of Companies, Companies Registration Office, Crown Way, Maindy, Cardiff, CF14 3UZ.

The Company is exempt under FRS 8 'Related Parties' from the requirement to disclose related party transactions within the Group headed by MFI Furniture Group Plc on the grounds that it is a wholly owned subsidiary.

10. POST BALANCE SHEET EVENTS

On 17 February 2006 the Group refinanced its medium-term debt and replaced it with a new 3.25 year secured facility. The assets of Howden Joinery Limited form part of the security for the debt.